

Equity Research | Industrial Automation

# Northwind Robotics, Inc. (NWRB)

Initiation of coverage: warehouse autonomy at an inflection point

| Rating     | Price target | Last price | Upside | Market cap |
|------------|--------------|------------|--------|------------|
| Outperform | \$58.00      | \$47.20    | +22.9% | \$6.1B     |

Report date: 27 September 2026. Prepared by Ledgerline Financial Analyst for the commissioning client.

## Executive summary

Northwind Robotics designs autonomous mobile robots (AMRs) and the fleet software that coordinates them inside warehouses and distribution centres. FY2025 revenue grew 24% to \$412M, and the mix shift toward recurring software lifted gross margin to 47.8%. We initiate at **Outperform** with a **\$58 price target**, set at the midpoint of our discounted cash flow value (\$58.40) and a comparables range of \$52 to \$61.

- **Recurring revenue is compounding.** Fleet software and service subscriptions reached 31% of revenue (FY2023: 22%) with 118% net revenue retention.
- **Operating leverage is visible.** Operating margin expanded 310 bps to 9.6% as R&D grew slower than revenue for the second consecutive year.
- **Balance sheet is clean.** \$540M net cash funds the roadmap with no dilution in our base case.
- **Key risks:** customer concentration (top five: 38% of revenue), competitive pricing from larger automation vendors, and execution on the European expansion.

## Investment thesis

The warehouse automation market remains under-penetrated: we estimate fewer than one in five large distribution centres run autonomous material handling today. Northwind's interoperable fleet software, which coordinates its own robots and third-party equipment, gives it a wedge into brownfield sites that competitors with closed ecosystems struggle to serve. We expect subscription revenue to reach 40% of the mix by FY2028, supporting a structurally higher margin profile.

## Business overview

Founded in 2014 and headquartered in Columbus, Ohio, Northwind sells into third-party logistics providers, e-commerce retailers and grocery distribution. The company reports two segments:

- **Systems (69% of FY2025 revenue).** AMR hardware (the Tern and Heron platforms), installation and site integration. Sold per robot with a typical site deploying 40 to 120 units.
- **Software and Services (31%).** Fleet orchestration software, analytics and maintenance contracts billed annually per robot under management.

## Customers and go to market

Northwind serves 214 customers across 1,050 sites. Direct sales cover North America; a channel partnership launched in FY2025 opens Germany, the Netherlands and the Nordics. Average contract length for software is 3.4 years, and 92% of robots shipped since FY2022 remain under an active software subscription.

## Competitive position

The competitive set includes large diversified automation vendors and a number of venture-backed AMR specialists. Northwind differentiates on interoperability (its orchestration layer supports more than 30 third-party device types) and on deployment speed: the median site goes live in 11 weeks versus an industry median we estimate at 16 to 20 weeks.

## Management and governance

The CEO and CFO have led the company since before its 2021 listing. Board composition is majority independent, and executive incentives are tied to subscription revenue growth and free cash flow, which we view as well aligned with long-term shareholder value.

| Segment revenue (\$M) | FY2023       | FY2024       | FY2025       | CAGR         |
|-----------------------|--------------|--------------|--------------|--------------|
| Systems               | 209.0        | 243.4        | 284.3        | 16.6%        |
| Software and Services | 59.0         | 88.6         | 127.7        | 47.1%        |
| <b>Total</b>          | <b>268.0</b> | <b>332.0</b> | <b>412.0</b> | <b>24.0%</b> |

## Financial analysis

Revenue growth has been consistent and increasingly driven by software. Gross margin expanded 520 bps over two years as software rose in the mix and hardware unit costs fell with the Heron platform redesign. Operating expenses grew at roughly two thirds the rate of revenue.

| Income statement (\$M) | FY2023 | FY2024 | FY2025 |
|------------------------|--------|--------|--------|
| Revenue                | 268.0  | 332.0  | 412.0  |
| growth                 | 19.1%  | 23.9%  | 24.1%  |
| Gross profit           | 114.2  | 150.7  | 196.9  |
| gross margin           | 42.6%  | 45.4%  | 47.8%  |
| Operating expenses     | 96.8   | 129.2  | 157.4  |
| Operating income       | 17.4   | 21.5   | 39.5   |
| operating margin       | 6.5%   | 6.5%   | 9.6%   |
| Net income             | 13.9   | 18.8   | 33.1   |
| Diluted EPS (\$)       | 0.11   | 0.15   | 0.26   |
| Free cash flow         | 8.1    | 22.6   | 41.3   |

### Cash flow and balance sheet

Free cash flow turned consistently positive in FY2024 and reached \$41.3M in FY2025 (10.0% margin). Working capital intensity fell as deployment times shortened. Northwind ends FY2025 with \$540M of cash and investments and no funded debt.

### Forecast

We model revenue of \$498M in FY2026 and \$594M in FY2027 (21% and 19% growth), with gross margin reaching 50.5% by FY2027 and operating margin of 13.2%. Our estimates assume European revenue contributes 6% of the total by FY2027.

| Estimates (\$M)  | FY2026E | FY2027E | FY2028E |
|------------------|---------|---------|---------|
| Revenue          | 498.5   | 593.2   | 694.0   |
| Gross margin     | 49.2%   | 50.5%   | 51.6%   |
| Operating margin | 11.4%   | 13.2%   | 14.8%   |
| Free cash flow   | 54.8    | 72.9    | 93.4    |

## Valuation

Our \$58 target weights a ten-year discounted cash flow and a peer multiples cross-check equally, rounded to the nearest dollar.

### Discounted cash flow

| DCF assumptions and output       | Value            |
|----------------------------------|------------------|
| Weighted average cost of capital | 9.4%             |
| Terminal growth rate             | 3.0%             |
| Explicit forecast period         | FY2026 to FY2035 |
| PV of forecast free cash flow    | \$1,742M         |
| PV of terminal value             | \$4,810M         |
| Enterprise value                 | \$6,552M         |
| Plus net cash                    | \$540M           |
| Equity value                     | \$7,092M         |
| Diluted shares                   | 121.4M           |
| <b>Value per share</b>           | <b>\$58.40</b>   |

### Sensitivity of value per share

| WACC \ g | 2.5%    | 3.0%    | 3.5%    |
|----------|---------|---------|---------|
| 8.9%     | \$60.10 | \$63.20 | \$66.90 |
| 9.4%     | \$55.70 | \$58.40 | \$61.50 |
| 9.9%     | \$51.90 | \$54.30 | \$57.00 |

### Comparable companies

| Company (fictional)             | EV / Sales FY26E | EV / EBIT FY26E | Rev growth |
|---------------------------------|------------------|-----------------|------------|
| Harbor Automation               | 5.8x             | 41.2x           | 17%        |
| Meridian Logistics Tech         | 6.9x             | 48.0x           | 22%        |
| Osprey Industrial               | 3.1x             | 22.5x           | 8%         |
| Quayside Systems                | 7.4x             | 55.3x           | 26%        |
| Talon Motion                    | 4.6x             | 35.9x           | 14%        |
| Westbrook Controls              | 3.8x             | 27.4x           | 9%         |
| Peer median                     | 5.2x             | 38.6x           | 15.5%      |
| <b>Northwind at \$58 target</b> | <b>13.1x</b>     | <b>114.7x</b>   | <b>21%</b> |

Northwind trades at a premium to the peer median on current earnings, which we view as justified by faster growth and a higher recurring mix. Applying growth adjusted EV / Sales multiples of 11.5x to 13.5x to FY2026E revenue yields \$52 to \$61 per share.

## Key risks

### Customer concentration

The top five customers account for 38% of revenue. The loss or delay of a single large programme could reduce FY2026 revenue by 5% to 8%.

### Competitive pricing

Larger automation vendors may bundle AMRs at low margin to win whole-facility contracts, pressuring Systems pricing.

### International execution

The European channel is new; slower partner ramp would push out our FY2027 international contribution.

### Supply chain

Lidar sensors and drive units come from a small set of suppliers; shortages could delay deliveries and revenue recognition.

### Macro sensitivity

Warehouse capital budgets follow e-commerce volumes and interest rates. A sharp slowdown would lengthen sales cycles.

## Recommendation

We initiate coverage of Northwind Robotics with an **Outperform** rating and a 12-month price target of **\$58**, implying 22.9% upside. The combination of durable software growth, improving unit economics and a net cash balance sheet offers an attractive risk and reward profile. We would revisit the rating if subscription attach rates fall below 85% or if gross margin fails to expand in FY2026.

### Catalysts

- Q3 FY2026 results (November): first quarter with European channel revenue.
- Investor day (February): expected multi-year margin targets.
- Decision on a large grocery distribution programme, expected in the first half of 2027.

## Appendix: methodology and sources

### Methodology

- Historical figures were compiled from the company's annual and quarterly reports and reconciled to reported totals. Segment splits follow company disclosure.
- Forecasts are built bottom up: robots deployed times average selling price for Systems, robots under management times annual software price for Software and Services.
- The DCF uses a ten-year explicit period, mid-year discounting and a Gordon growth terminal value. WACC assumes a 4.2% risk-free rate, 5.0% equity risk premium, beta of 1.15 and no debt.
- Comparable companies were selected on business model and end market; multiples use consensus-style FY2026 estimates.
- Every figure in the report was checked to tie to its source table before delivery.

### Sources (illustrative)

- Northwind Robotics, Inc. Form 10-K, fiscal years 2023, 2024 and 2025 (illustrative).
- Northwind Robotics, Inc. Form 10-Q, Q1 to Q3 fiscal 2025 (illustrative).
- Northwind Robotics, Inc. definitive proxy statement, 2025 (illustrative).
- Peer company annual reports for the six comparable companies listed (illustrative).
- Industry estimates of warehouse automation penetration (illustrative).

### Disclosures

Northwind Robotics, Inc. and every company named in this report are fictional. All figures are illustrative and were created to demonstrate a research deliverable. Nothing in this document is investment advice or an offer to buy or sell any security.